BEFORE THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH, PRAYAGRAJ

COMPANY PETITION CP (CAA) NO.2/ALD/2023

Connected with

COMPANY APPLICATION CA (CAA) NO.17/ALD/2022
(Under Sections *230 & 232* of the Companies Act, 2013)

In the matter of Sections 230 & 232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

And

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

1. SULOG TRANSSHIPMENT SERVICES LIMITED

a Company incorporated under the Companies Act, 1956 having its Registered Office at A-1, UPSIDC Industrial Area, Nandgaon Road, Kosi Kalan, Mathura – 281403, Uttar Pradesh and Corporate Identification Number U61200UP2011FLC089538 within the jurisdiction of this Tribunal.

..... Petitioner Company No.1/Transferor Company

AND

2. JINDAL ITF LIMITED

a Company incorporated under the Companies Act, 1956 having its Registered Office at A-1, UPSIDC Industrial Area, Nandgaon Road, Kosi Kalan, Mathura – 281403 Uttar Pradesh, India and Corporate Identification Number U74900UP2007PLC069247 within the jurisdiction of this Tribunal.

..... Petitioner Company No. 2/Transferee Company

ORDER PRONOUNCED ON: 09.08.2023

CORAM:

Shri Praveen Gupta : Member (Judicial)

Shri Ashish Verma : Member (Technical)

COUNSEL APPEARED

Mr. Shashi Kant Gupta with Sh. Ankit Kumar Singh, PCS
: For the Petitioner

Sh. Krishna Dev Vyas, Advocate
: For the ROC

Mr. Rajneesh Kumar Singh : For the O.L. Allahabad/RD (NR)

ORDER

1. The present Joint Company Petition is filed by the Petitioner Companies above named under Sections 230 & 232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, for sanction of the Scheme of Amalgamation (hereinafter referred to as the 'Scheme') for Amalgamation of Sulog Transshipment Services Limited (Petitioner Company No.1/Transferor Company) with Jindal ITF Limited (Petitioner Company No.2/Transferee Company) (collectively referred to as 'Petitioner Companies').

2. The Petition has now come up for final hearing. The Ld. Authorized Representative for the Petitioner Companies submits as follows:

(i) The proposed 'Scheme of Amalgamation' has previously been approved by the Board of Directors of the Petitioner Companies in their respective Board Meetings held on 9th September, 2022.

(ii) The factual position of the Authorized, Issued, Subscribed and Paid up Share Capital of the Petitioner Companies as on 31st March, 2022 is described in the present Company Petition.

(iii) The rationale of the proposed Scheme of Amalgamation is elaborately described in the present Company Petition which may be summarized as under.

2.1 The Scheme of Amalgamation provides for amalgamation of Sulog Transshipment Services Limited (Petitioner Company No.1/Transferor Company) with Jindal ITF Limited (Petitioner Company No.2/Transferee Company) pursuant to Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 and rules made thereunder.

Rationale for Merger

(i) The Transferor Company is a wholly-owned Subsidiary Company of the Transferee Company;

(ii) The Transferor Company and the Transferee Company have common control, common management, common place of business, common fund management and common group administration;

(iii) The Transferor Company and the Transferee Company are mainly engaged in marine transport business. Consolidating the similar businesses within one Company would enable the business activities to be carried out with greater focus and specialization for sustained growth. It is expected that the proposed consolidation will allow more focused strategy, standardization in operations, operating cost optimization, better monitoring and utilization of assets, effective co-ordination with customers which in turn would enhance Shareholder's value;

(iv) The amalgamation would integrate the business synergies and reap the benefit of consolidation through

focused management, generating surplus funds to enable planning for further growth in business. The Amalgamated Company will have stronger resilience to withstand competition that may arise in wake of opening up of Inland Waterways by the Government of India.

(v) The amalgamation will lead to emergence of a single entity with strong financial capability to effectively withstand competition, to effectuate economies of scale and to optimize benefits available under the law. The Consolidated Company with far enlarged asset base, higher profitability and net worth will be better placed to access low cost fund for its expansion and diversification requirements;

(vi) The amalgamation will result in significant reduction in the multiplicity of legal and regulatory compliances required at present to be carried by the Amalgamating Companies and will avoid duplication of administrative functions and eliminate multiple record keeping.

2.2 In consideration of the above mentioned business rationale and related benefits, this Scheme of Amalgamation between Sulog Transshipment Services Limited and Jindal ITF Limited is propounded in accordance with the terms set out in the Scheme of Amalgamation. The Board of Directors of the Petitioner Companies are of the opinion that the proposed Scheme is in the best interests of these Companies, their Shareholders and other Stakeholders.

3. The Petitioners have stated that the accounting treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013 as certified by the respective Auditors of the Petitioner Companies.

4. It has also been stated in the Petition that no proceedings under Sections 235 to 251 of the Companies Act, 1956 or under Sections 210 to 226 of the Companies Act, 2013 are pending against any of the Petitioner Companies.

5. It has also been stated in the Petition that the Scheme is not prejudicial to the interest of the Shareholders and Creditors of the Petitioner Companies and the Petition is made *bona-fide* and

is in the interest of all the Petitioner Companies and their respective Shareholders and Creditors as a whole and is just and equitable.

6. It has been stated that the Petitioner Companies are closely held Companies and their Equity Shares are not listed on any Stock Exchange. Further, the Petitioner Companies are under common management and control.

7. The Petitioner Companies have annexed the Share Exchange Ratio Report dated 9th September, 2022 given by CS Mallika Goel, a Registered Valuer in respect of Securities or Financial Assets, registered with the Insolvency and Bankruptcy Board of India (IBBI). As per the said Share Exchange Ratio Report, the Petitioner Company No.2/Transferee Company shall not be required to issue any shares in consideration for merger of the Petitioner Company No.1/Transferor Company since the Petitioner Company No.1/Transferor Company is a Wholly-Owned Subsidiary of the Petitioner Company No.2/Transferee Company.

8. A perusal of the present Petition discloses that initially the Petitioner Companies had filed a Company Application No.CA

(CAA) No.17/ALD/2022 seeking directions of this Tribunal to dispense with the requirement of convening the meetings of Equity Shareholders and Secured Creditors of the Company No.1/Transferor Company and the Meetings of Equity Shareholders, Preference Shareholders and Unsecured Creditors of the Company No.2/Transferee Company and to convene separate meetings of the Unsecured Creditors of the Company No.1/Transferor Company and of the Secured Creditors of the Company No.2/Transferee Company. Accordingly, this Tribunal vide its order dated 15th November, 2022 allowed the above mentioned prayers and directed to convene separate meetings of the Unsecured Creditors of Company No.1/Transferor Company and also of the Secured Creditors of the Company No.2/Transferee Company under the supervision of Mr. Rahul Chaudhary, Advocate, Chairperson and Mr. Anil Kumar, Scrutinizer on Saturday, 7th January, 2023 at 11.30 A.M. and 2.00 P.M. respectively at the Registered Office of the Petitioner Companies situated at A-1, UPSIDC Industrial Area, Nandgaon Road, Kosi Kalan, Mathura – 281403 (Uttar Pradesh) for the purpose of considering and, if thought fit,

approving, the proposed Scheme of Amalgamation and dispensed with the requirement of convening meetings of Equity Shareholders and Secured Creditors of the Petitioner Company No.1/Transferor Company and also of the Equity Shareholders, Preference Shareholders and the Unsecured Creditors of the Petitioner Company No.2/Transferee Company. This Tribunal further directed to issue notice of the Company Application along with Scheme of Amalgamation and related documents to the Statutory Authorities, viz. (a) the Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi (b) the Registrar of Companies, Uttar Pradesh, Kanpur; (c) The Official Liquidator, Uttar Pradesh, Allahabad; and (d) the Income-Tax Department having jurisdiction over the Petitioner Companies.

9. A perusal of the present Petition discloses that in pursuance of the directions contained in order dated 15th November, 2022, passed by this Tribunal in Company Application CA (CAA) No.17/ALD/2022, separate meetings of Unsecured Creditors of the Petitioner Company No.1/Transferor Company and of the Secured Creditors of Petitioner Company No.2/Transferee

Company were duly convened and held on Saturday, 7th January, 2023 in physical mode at the Registered office of both the Petitioner Company No.1/Transferor Company and the Petitioner Company No.2/Transferee Company as per the following Schedule:

Sl. No.	Particulars	Time
1.	Unsecured Creditors of the Petitioner Company No.1/ Transferor Company.	11:30 A.M.
2.	Secured Creditors of the Petitioner Company No.2/ Transferee Company.	2:00 P.M.

The Scheme of Amalgamation was considered and approved unanimously in the respective meetings of the Unsecured Creditors of Petitioner Company No.1/Transferor Company and of the Secured Creditors of the Petitioner Company No.2/Transferee Company, without any modifications. The Chairperson appointed for the meetings has filed his Reports on 21st January, 2023 which are enclosed as **Annexure No.P-14 and P-15** with the Petition.

10. Notice of the Company Application along with the Scheme of Amalgamation and related documents was also given to the Statutory Authorities viz; (a) the Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi (b) the Registrar of Companies, Uttar Pradesh, Kanpur; (c) The Official Liquidator, Uttar Pradesh, Allahabad; and (d) the Income-Tax Department having jurisdiction over the Petitioner Companies. The Petitioner Companies have filed Affidavit of Service of Company Application on 22nd December, 2022.

11. This Tribunal vide its order dated 3rd February, 2023 directed to issue notice of hearing in respect of present Company Petition to the Statutory Authorities and also to make paper publication in this respect in "Financial Express" (English) and "Jansatta" (Hindi) newspapers having circulation in Mathura in the State of Uttar Pradesh in which the Registered office of the Petitioner Companies are situated.

12. In compliance thereof, the Petitioner Companies on 19th March, 2023 filed an Affidavit of service and publication, confirming that notices have been duly published in "Financial

Express" (English) and "Jansatta" (Hindi) newspaper having circulation in Mathura in the State of Uttar Pradesh in which the Registered office of the Petitioner Companies are situated. The Petitioner Companies have also served notice of the Company Petition to (a) the Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi (b) the Registrar of Companies, Uttar Pradesh, Kanpur and (c) The Official Liquidator, Uttar Pradesh, Allahabad; and (d) the Income -Tax Department having jurisdiction over the Petitioner Companies.

13. In response to the above stated notice, the Registrar of Companies, Ministry of Corporate Affairs, Uttar Pradesh submitted its Report dated 15th March, 2023 to the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi.

14. In response to the above stated notice, the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi has filed his Representation Affidavit dated 24th March, 2023 ("RD affidavit") citing observations made in the Report of the Registrar of Companies, Uttar Pradesh which as per the submissions

made by the Authorized Representative representing the Petitioner Companies were only factual statements and did not call for any further comments or explanation.

15. In response to the above stated notice, the Official Liquidator, Ministry of Corporate Affairs, Allahabad, Uttar Pradesh has also submitted his Report on 22nd February, 2023 and in Para 14 thereof it has been stated that the Official Liquidator has no objection to the dissolution of the Petitioner Company No.1/Transferor Company without winding up pursuant to provisions of Sections 230 and 232 of the Companies Act, 2013 and rules thereunder.

16. As per the Affidavit of Service filed by the Petitioner Companies on 22nd December, 2022, notices of the First Motion Company Application were served upon the Income-Tax Department having jurisdiction over the Petitioner Companies on 9th December, 2022 for filing their response to the First Motion Company Application. Further, as per the Affidavit of Service filed by the Petitioner Companies on 19th March, 2023, notices of the Second Motion Company Petition were served upon the Income-Tax Department having jurisdiction over the

Petitioner Companies on 16th February, 2023 for filing their response to the Second Motion Company Petition. However, there was no representation nor any reply was filed by the Income-Tax Department despite service of both the Motions. Further in the interest of justice, the Tribunal vide orders dated 31st March, 2023 and 3rd May, 2023 directed to serve a fresh notice of the Company Petition through the Registry of the Tribunal on the Principal Chief Commissioner of Income-Tax, Lucknow and the Principal Chief Commissioner of Income-Tax, Delhi for filing reply on the Second Motion Company Petition within a period of two weeks making it clear that in case no representation/reply is filed on behalf of the Income-Tax Department, it shall be presumed that the Income-Tax Department has no representation to make and the Petition will be heard and decided in the absence of Income-Tax Department. The Ld. Authorized Representative for the Petitioner Companies filed the Affidavit of Service of fresh notice of Second Motion Company Petition on the Principal Chief Commissioner of Income-Tax, Lucknow and the Principal Chief Commissioner of

Income-Tax, Delhi on 15th April, 2023 and 3rd May, 2023 respectively.

17. In response to the service of fresh notice of Company Petition, the Income-Tax Department (through the office of Deputy Commissioner of Income Tax, New Delhi) filed its Report vide Letter F. No. DCIT/CIRCLE 22 (2)/NOC/2023-24/231 dated 24th May, 2023 in respect of the Petitioner Company No.1/Transferor Company stating that there was no demand pending against the Petitioner Company No.1/Transferor Company and conveyed its no objection to the approval of the proposed Scheme of Amalgamation by the Hon'ble Tribunal.

18. Since no representation/ reply was filed by the Income-Tax Department on behalf of the Petitioner Company No.2/Transferee Company despite fresh service of Company Petition through the Registry of the Tribunal granting a last opportunity to the Income- Tax Department for filing their representation/reply on behalf of the Petitioner Company No.2/Transferee Company and making it absolutely clear that in case no representation/reply is filed on behalf of the Income-Tax Department, it shall be presumed that the Income-Tax

Department has no representation/reply to make on the proposed Scheme of Amalgamation and the matter will be heard and decided in the absence of Income-Tax Department, in terms of the provisions of Section 230(5) of the Companies Act, 2013 read with Rule 8(3) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, it is presumed that the Income-Tax Department had no representation to make on behalf of the Petitioner Company No.2/Transferee Company in respect of the proposed Scheme of Amalgamation.

19. The representative of the Central Government present during the hearing while agreeing to the submissions made by the Petitioner Companies conveyed his no objection to the proposed Scheme of Amalgamation.

20. The Petitioner Companies on 29th March, 2023 also filed an Affidavit confirming that neither the Petitioner Companies nor their Legal Authorized Representative has received any objection/representation from any person against the Company Petition or the proposed Scheme of Amalgamation in response to the publication of the notice of hearing of the present Petition in newspapers.

21. We have gone through the reports of the Ld. Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi, Ld. Registrar of Companies, Uttar Pradesh, Kanpur, Official Liquidator, Allahabad and the Income-Tax Department having jurisdiction over the Petitioner Company No.1/Transferor Company and after perusing the same and hearing the submissions made by the Ld. Authorized Representative representing the Petitioner Companies, we find that there appears to be no reservation to grant sanction to the Scheme and we are of the view that the sanction of the present Scheme of Amalgamation is not against public policy, nor it would be prejudicial to the public interest at large.

22. In addition to above, all the statutory compliances seem to have been complied with by the Petitioner Companies, therefore, the present Company Petition deserves to be allowed in terms of its prayer clause.

23. As a result, the proposed Scheme of Amalgamation, which is annexed to the Company Petition stands approved and sanctioned and the same shall be binding on all the Shareholders, Creditors and other Stakeholders of the above-

named Petitioner Companies and also on the Petitioner Companies with effect from the 'Appointed Date' i.e. 1st April, 2022. The Petitioner Companies are required to act upon as per the terms and conditions of the sanctioned Scheme of Amalgamation.

24. While approving the Scheme of Amalgamation as above, it is clarified that this order should not be construed as, in any way, granting exemption from payment of stamp duty (if any, as applicable), taxes (including Income-Tax, GST or other charges, if any, as applicable) and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

25. THIS TRIBUNAL DO FURTHER ORDER:

i. Upon the Scheme becoming effective, all the property, rights and powers of the Petitioner Company No.1/Transferor Company specified in the Schedule annexed hereto and all other property, rights and powers of the Petitioner Company No.1/Transferor Company be transferred, without further act or deed, to the Petitioner Company No.2/Transferee Company and accordingly, the

same shall, pursuant to Sections 230 & 232 of the Companies Act, 2013, be transferred to and vested in the Petitioner Company No.2/Transferee Company for all the estate and interest of the Petitioner Company No.1/Transferor Company therein but subject nevertheless to all charges now affecting the same; and

ii. Upon the Scheme becoming effective, all the liabilities and duties of the Petitioner Company No.1/Transferor Company be transferred, without further act or deed, to Petitioner Company No.2/Transferee Company and accordingly, the same shall pursuant to Sections 230 & 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Petitioner Company No.2/ Transferee Company; and

iii. Upon the Scheme becoming effective, all the employees of the Petitioner Company No. 1/Transferor Company, in service on the Effective Date, shall be transferred to and shall become the employees of the Petitioner Company No.2/Transferee Company as provided in the Scheme of Amalgamation;

iv. Upon the Scheme becoming effective, all proceedings now pending by or against the Petitioner Company No.1/Transferor Company be continued by or against the Petitioner Company No.2/Transferee Company; and

v. Upon the coming into effect of the Scheme, and in consideration for the transfer of and vesting of all the said properties, assets and liabilities of the Petitioner Company No.1/Transferor Company to the Petitioner Company No.2/Transferee Company in terms of this Scheme, the Petitioner Company No.2/Transferee Company shall not be required to issue any shares, since Petitioner Company No.1/Transferor Company is a wholly owned subsidiary of Petitioner Company No.2/Transferee Company.

26. The Petitioner Companies shall within thirty days of the date of the receipt of certified copy of this Order cause a copy of this order delivered to the Registrar of Companies, Uttar Pradesh, for registration and on such certified copy being so delivered, the Petitioner Company No.1/Transferor Company shall stand dissolved without undergoing the process of winding up and the Registrar of Companies, Uttar Pradesh shall place all

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documents relating to the Petitioner Company No.1/Transferor Company with him on the file kept by him in relation to the Petitioner Company No.2/Transferee Company and the file relating to the said Petitioner Company No.1/Transferor Company shall be consolidated accordingly.

27. The Petitioner Companies shall supply legible print outs of the Scheme of Amalgamation and the Schedule of Assets in acceptable form to the Registry and the Registry will append such print outs, after verification, to the certified copy of the Order.

28. Certified copy of this Order be supplied, if applied for, subject to compliance with usual formalities.

29. That the Resulting Company shall deposit an amount of Rs. 25,000/- (Rupees Twenty Five Thousand Only) in favour of "The Ministry of Corporate Affairs" within a period of four weeks from the date of receipt of the certified copy of this order and file affidavit of compliance thereof.

30. All the concerned Regulatory Authorities and other persons to act on a copy of this Order annexed with the Scheme of

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Amalgamation duly authenticated by the Registrar, National Company Law Tribunal, Allahabad Bench.

31. Any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

32. Accordingly, the present Company Petition bearing CP (CAA) No.2/ALD/2023 is allowed and stands disposed of.

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(Ashish Verma)	**(Praveen Gupta)**
Member (Technical)	**Member (Judicial)**

Aditi Kharbanda
(LRA)